



ĐẠI HỌC QUỐC GIA HÀ NỘI
TRƯỜNG QUỐC TẾ
VNU-INTERNATIONAL SCHOOL

Topic 9: Project Procurement Management and Contracting

IT Project Management (INS3044)

Learning Objectives



Define project procurement management.



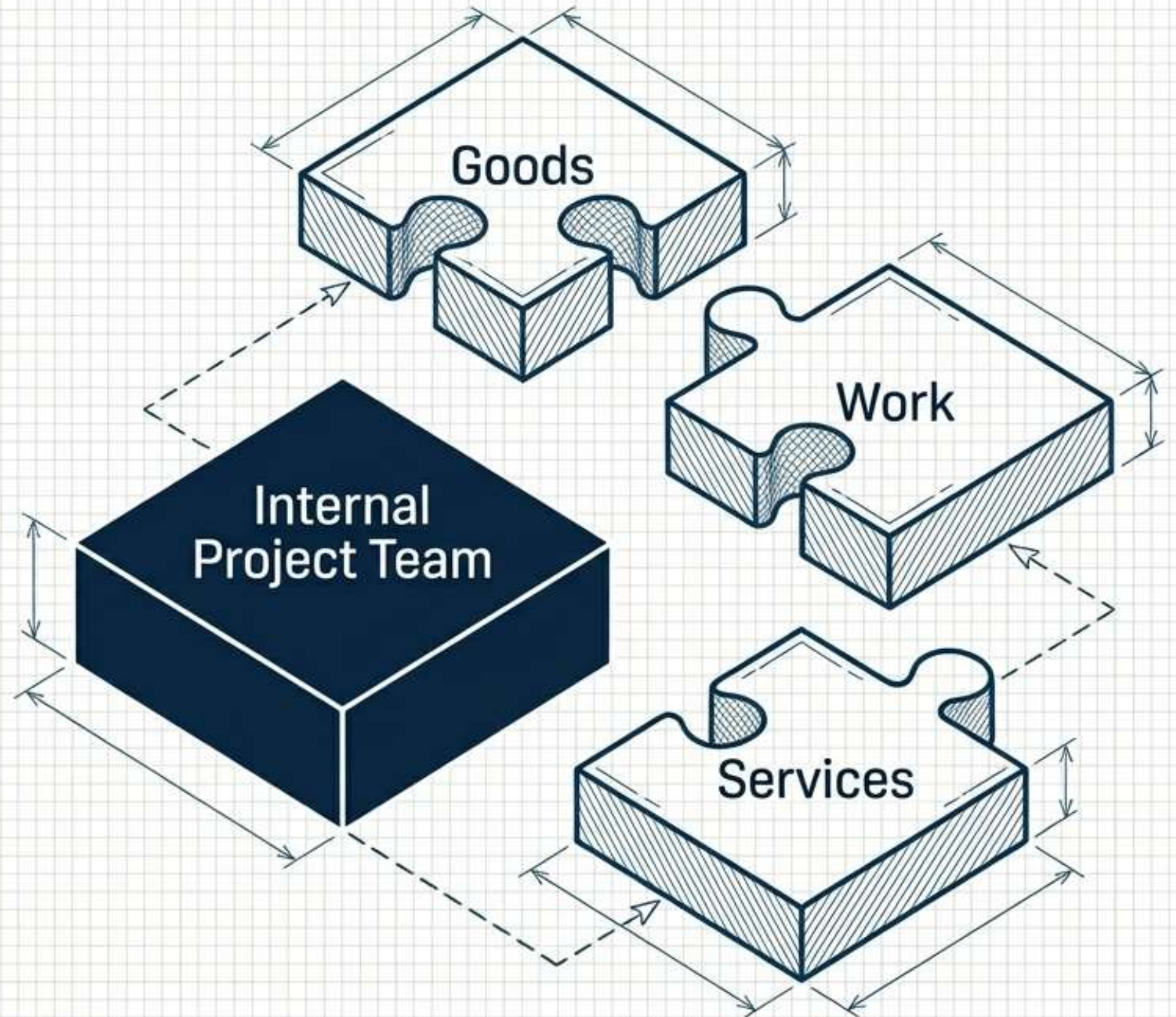
Analyze the RFP process.



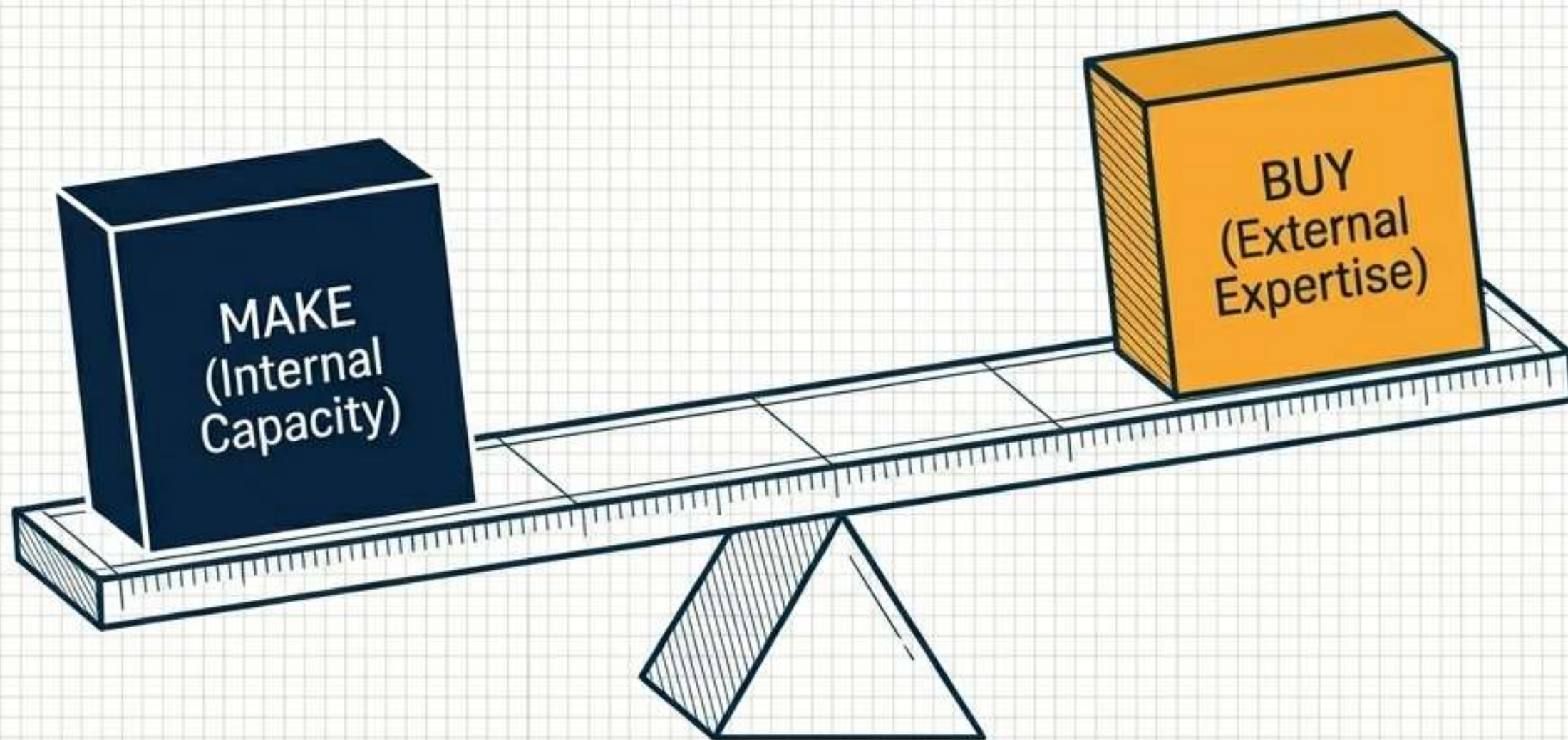
Evaluate project contract types.

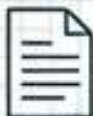
Defining Procurement

- Sourcing external project resources.
- Acquiring Goods, Work, Services.
- Known as 'GWS' items.
- Vital for project success.
- Requires careful vendor management.



Make-or-Buy Analysis



	• First step in procurement.		• Outsource to external experts?		• Evaluates cost versus capability.
	• Keep work strictly internal?		• Example: Jamal Industries case.		• Considers long-term strategic value.

Practice 1: Make or Buy?



- **Project:** QuickBite University App.
- **Component:** Secure payment gateway.
- **Question:** Build or buy?
- Discuss risks of building.
- Discuss benefits of buying.
- Time limit: 5 minutes.

The Procurement Cycle



- Identify needed GWS resources.

- Solicit bids from vendors.

- Evaluate and select proposals.

- Negotiate and sign contracts.

- Administer and monitor contracts.

Stage 1: Planning

Deadline

Schedule backward
from deadline.

Integrate into
project schedule.

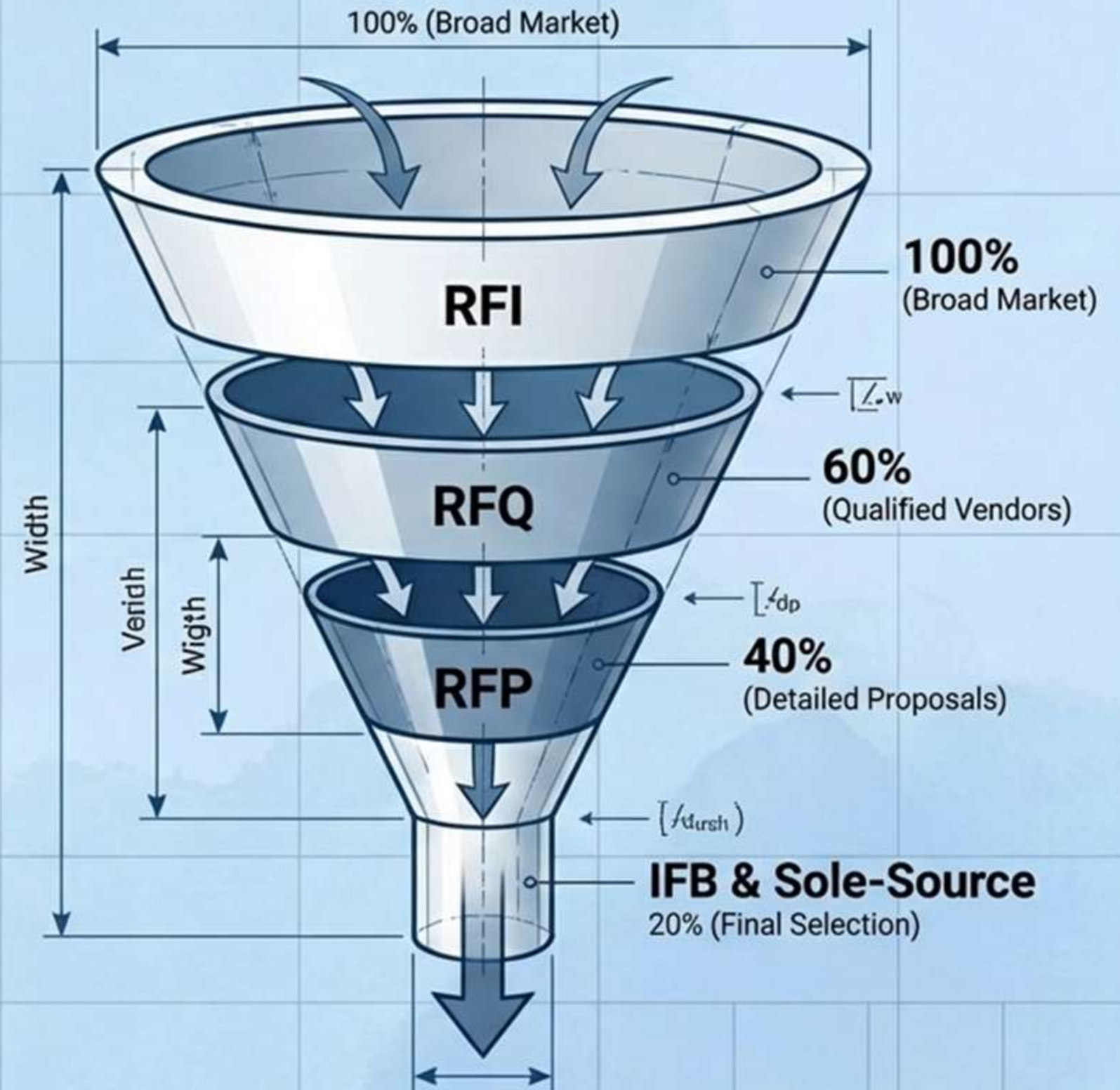
Estimate required
lead times.

Identify specific resource needs.

Define quality specifications clearly.

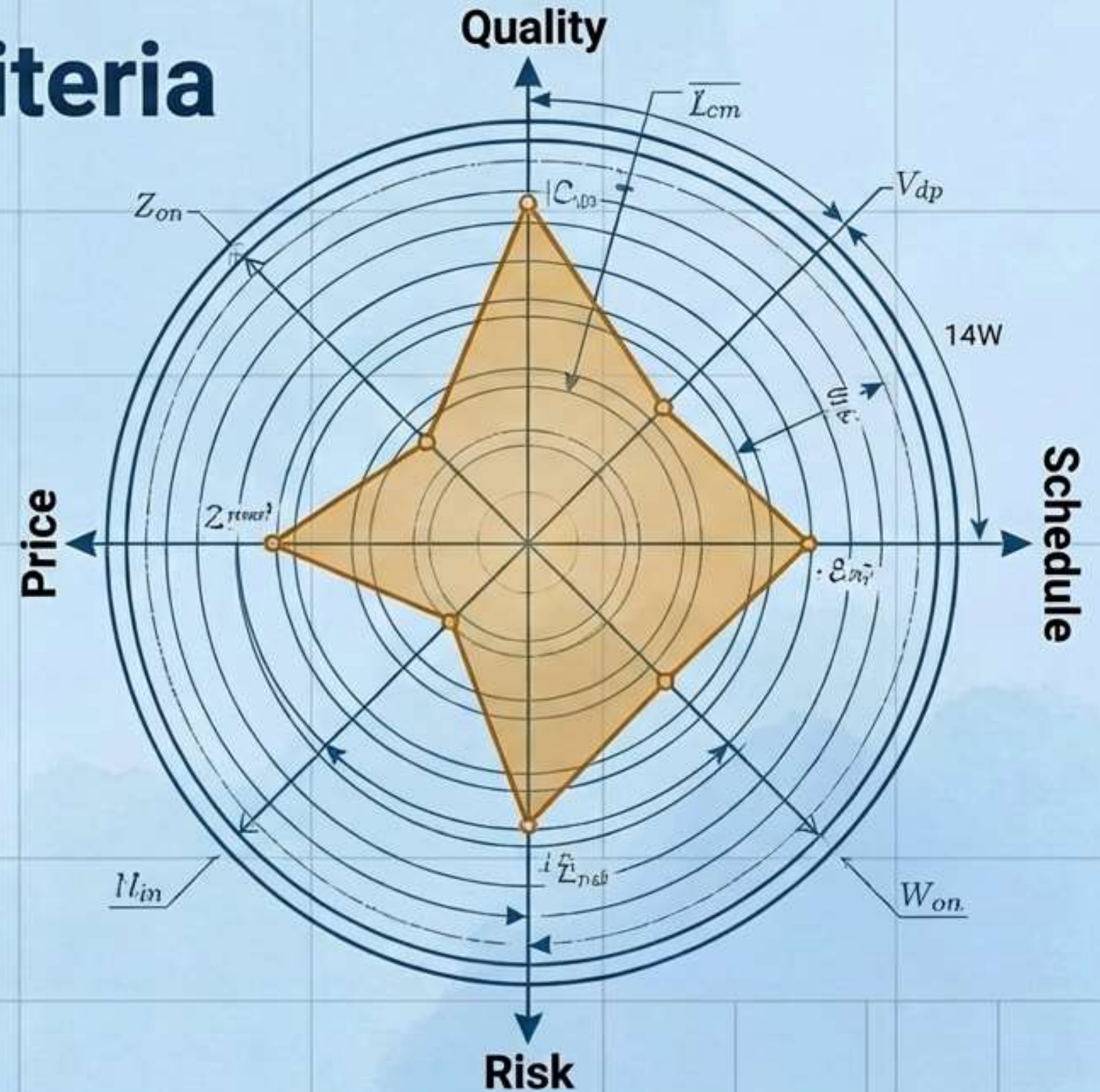
Step 2: Soliciting Proposals

- Request for Information (RFI).
- Request for Quotation (RFQ).
- Request for Proposal (RFP).
- Invitation for Bid (IFB).
- Sole-sourcing skips
- Sole-sourcing skips competitive bidding.



Vendor Evaluation Criteria

- Assess technical solution approach.
- Evaluate total project price.
- Check contractor past reputation.
- Review proposed project schedule.
- Analyze potential project risks.



MPD Evaluation Example

Compare competing contractor bids.

- Score the technical solution.
- Score the total price.
- Score the project plan.
- Highest weighted total wins.

Criteria	Contractor A	Contractor B
Tech Solution		
Price		
Project Plan		

Practice: Evaluate Bids



Vendor A: Low price.

Vendor A: Weak project plan.



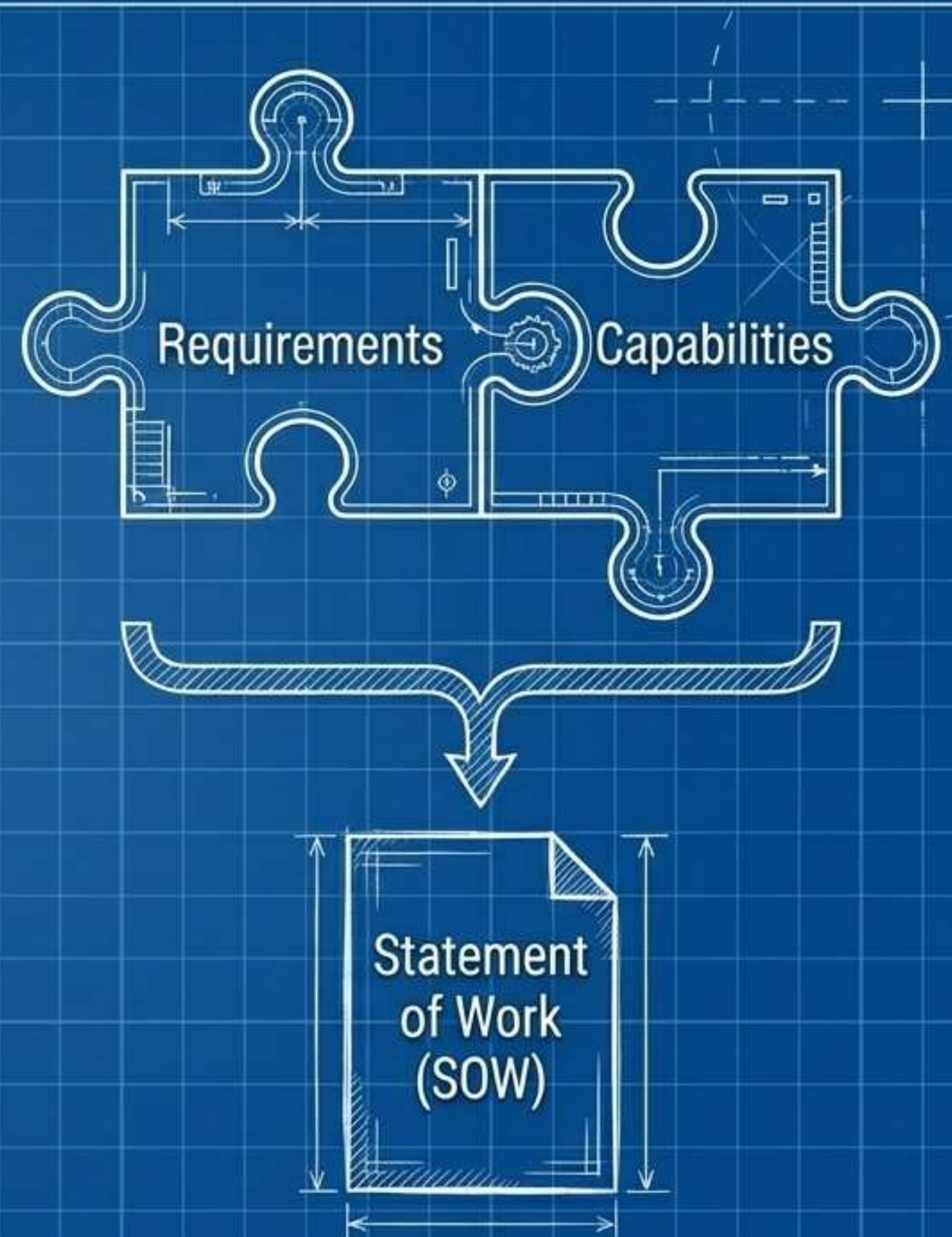
Vendor B: High price.

Vendor B: Strong project plan.

Who wins your contract?

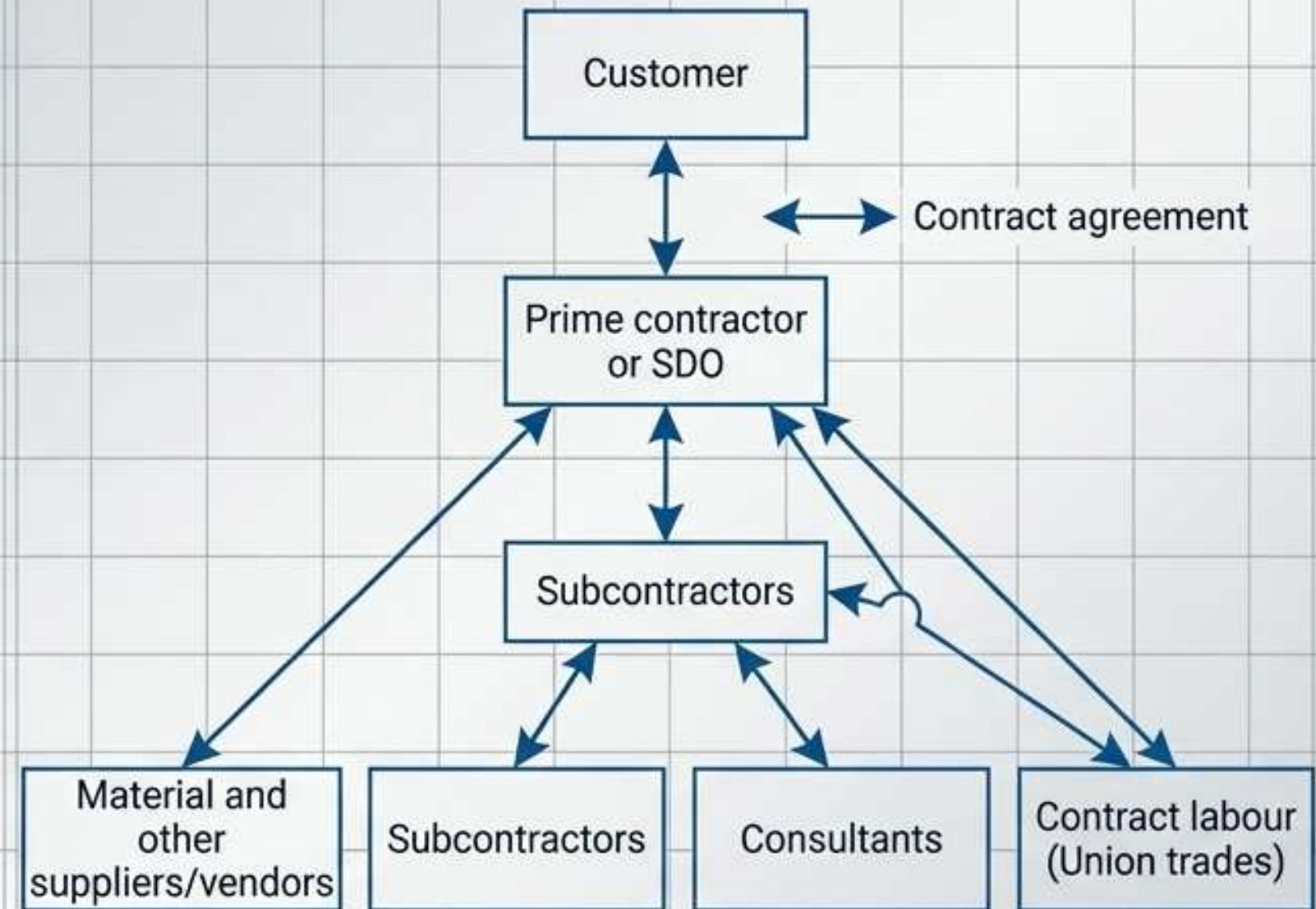
Stage 3: Contracting

- Align proposal with actual contract.
- Define Statement of Work (SOW).
- Agree on schedule and cost.
- Establish clear quality standards.
- Create legally binding agreements.



The Contracting Environment

- Agreements bind parties legally.
- Customer hires prime contractor.
- Prime manages overall delivery.
- Prime hires specialized subcontractors.
- Contracts allocate project risks.
- Procurement manages outsourced work.



Stage 4: Procurement Control

- Administer the signed contract.
- Monitor supplier progress closely.
- Inspect procured item quality.
- Manage requested scope changes.
- Authorize supplier payments.



Procurement Scheduling

- Integrate into project WBS.
- Work backward from deadlines.
- Account for vendor lead-times.
- Plan for proposal evaluation.
- Add schedule safety buffers.



The Project Contract

- Formal agreement between parties.
- Defines scope and schedule.
- Establishes terms of payment.
- Allocates project financial risk.



Fundamental Contract Types

Fixed Price (FP)

- Lump sum for project.
- Price remains strictly fixed.
- Contractor assumes financial risks.

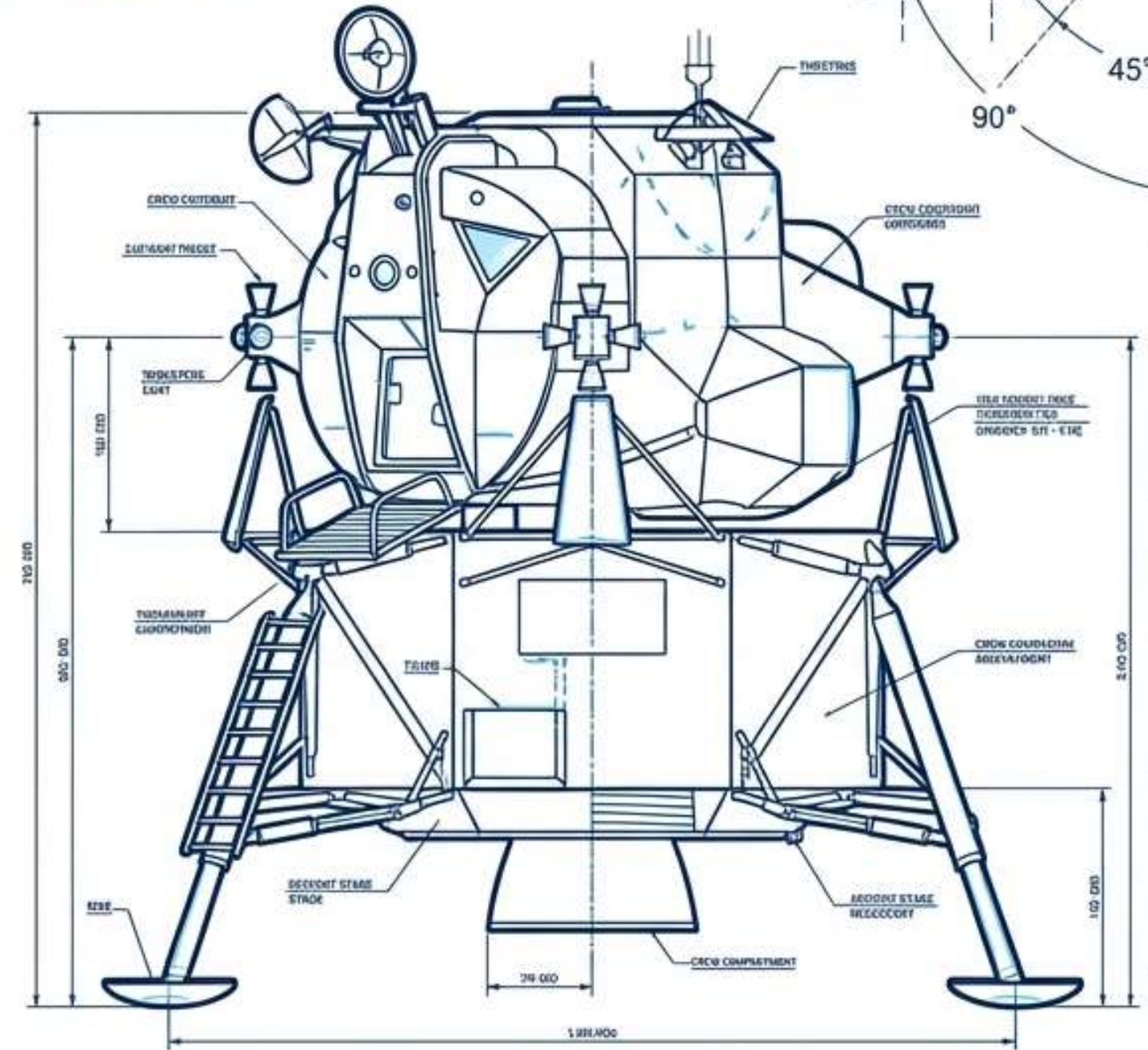


Cost-Plus (CPFF)

- Reimbursement for all costs.
- Plus fixed contractor fee.
- Customer assumes financial risks.

Example: Apollo Spacecraft

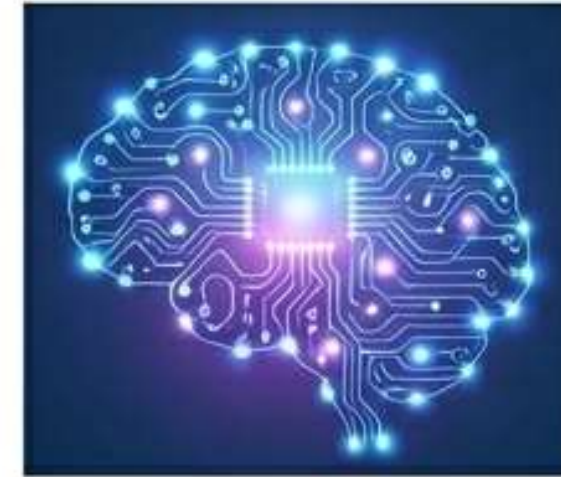
- NASA builds Apollo spacecraft.
- High risk, unprecedented technology.
- Costs were highly uncertain.
- Cost-plus contracts were necessary.



Discuss: Choose Contract



Project A: Standard website.

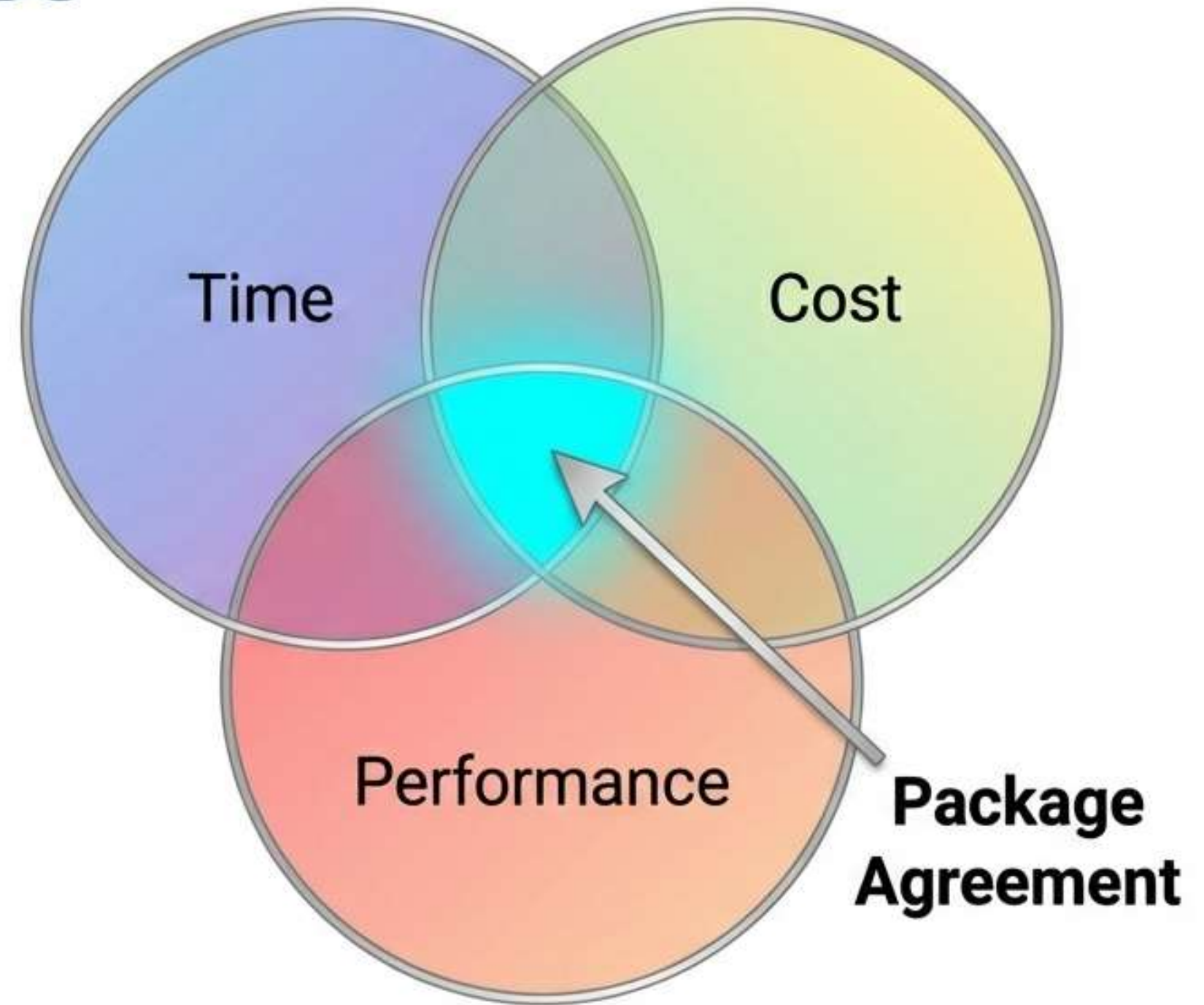


Project B: Experimental AI.

Which needs Fixed Price?
Which needs Cost-Plus?
Explain your reasoning.

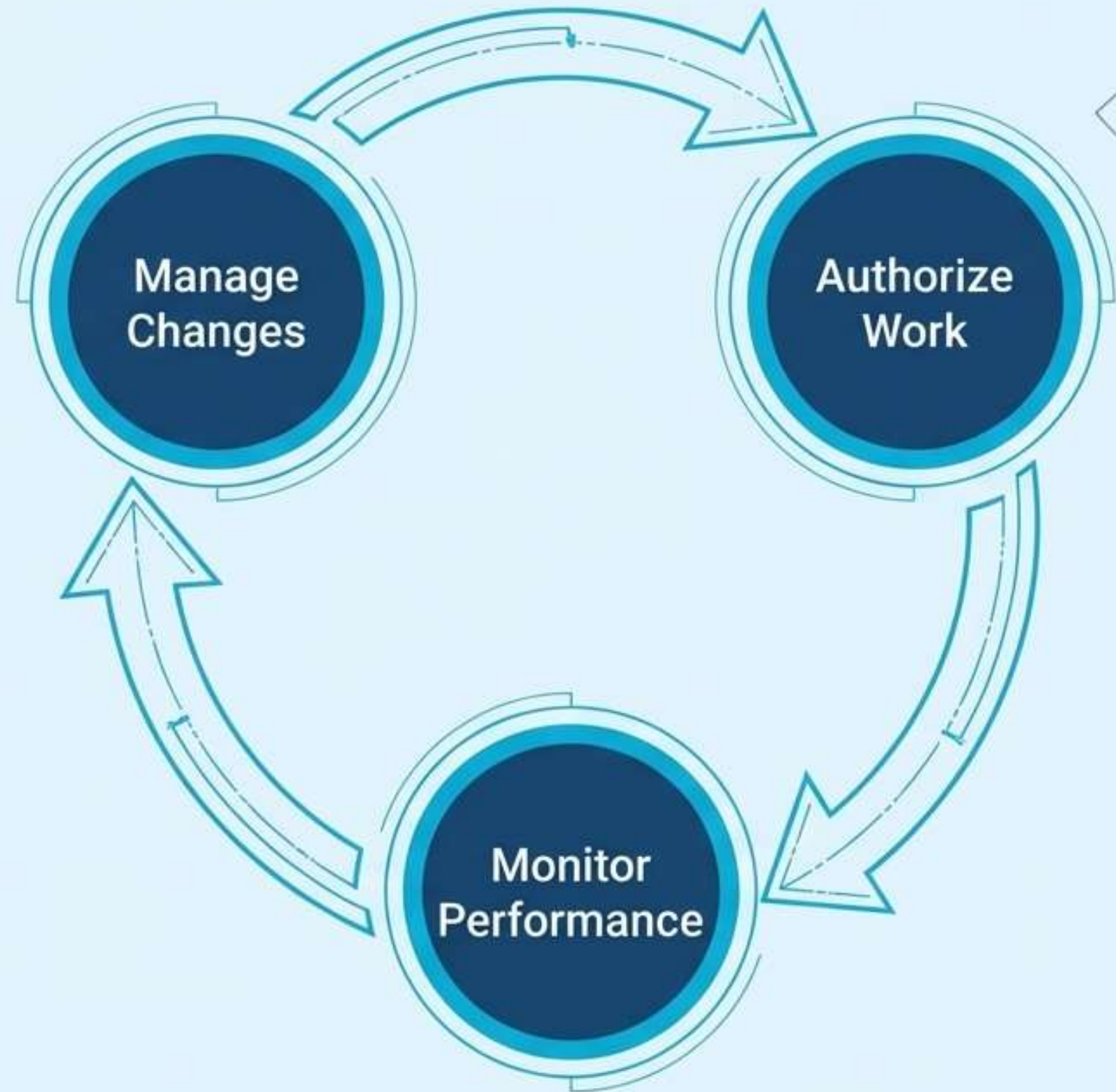
The Negotiation Process

- ✓ Clarify technical contract terms.
- ✓ Agree on project schedule.
- ✓ Establish performance obligations clearly.
- ✓ Determine final project price.
- ✓ Balance time, cost, performance.
- ✓ Create package agreement safely.

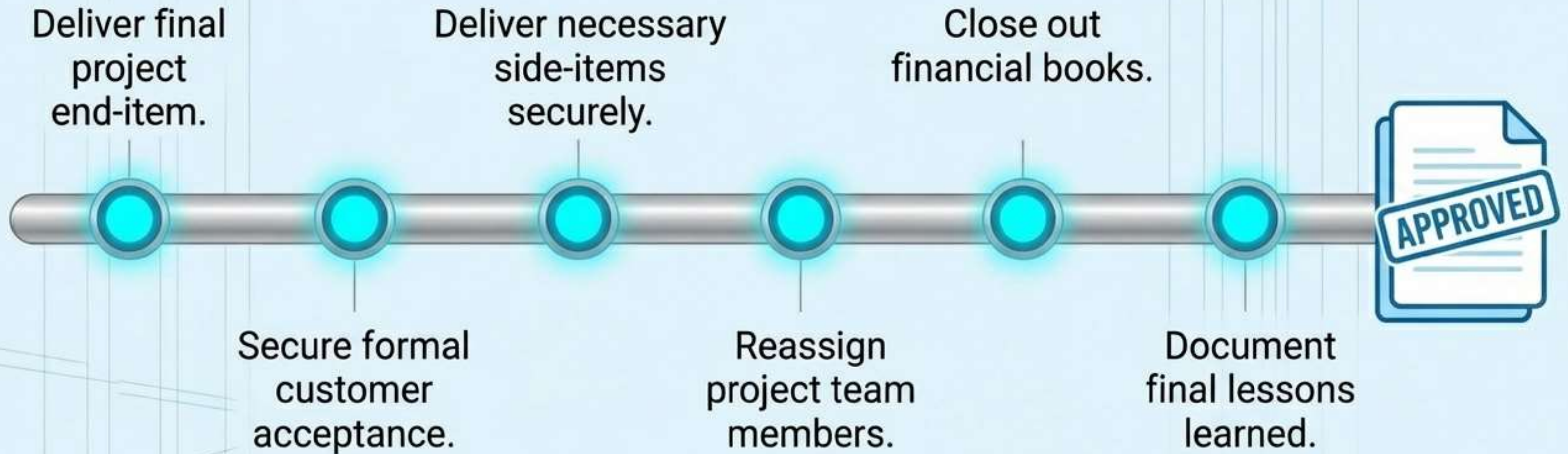


Contract Administration

- ✓ Ensure commitments are met.
- ✓ Authorize work to begin.
- ✓ Monitor budgets and schedules.
- ✓ Control requested scope changes.
- ✓ Process contractor invoices securely.
- ✓ Resolve execution disputes quickly.



Project Closeout & Handover



Discussion: Final Handover

Scenario:

- Software project is completed.
- Customer demands unwritten features.
- Customer delays final payment.

Discuss:

- How should we respond?
- Why are criteria vital?



Class Review

1

Define project
procurement
management.

2

List the RFP steps.

3

Compare Fixed
versus Cost-Plus.

Discuss with your group.

Key Takeaways

1

Procurement secures external help.

2

RFPs solicit competitive solutions.

3

Contracts distribute project risks.